

Let experts handle your portfolio – the case for mutual funds



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In many areas of life, we trust experts to do a better job than ourselves. This is usually because a) the subject is complex, b) rules/conditions keep changing - requiring up to date knowledge, and c) there is downside risk involved with getting it wrong. For example, when we fall ill, we rely on doctors for diagnosis and treatment instead of self-medicating based on a Google search. Or when filing our income tax returns, we delegate the task to a Chartered Accountant who understands the ever-changing tax laws. The same logic applies to investing. Investing in financial markets through professionally managed mutual funds instead of a DIY (Do-It-Yourself) approach can be the prudent choice.

Mutual funds are investment vehicles that pool money from many investors to invest in a diversified portfolio of

securities like stocks, bonds etc. These securities are selected by professional fund managers after thorough research. Investors are issued units that represent the extent of their ownership in the fund's investments. The gains (or losses) generated from these investments are passed on to investors in proportion to their holdings. When these gains are reinvested, they generate further returns - deploying the power of compounding for long-term wealth creation.

Here's why mutual funds are better than DIY investing:

Financial markets are complex

Financial markets are vast and multifaceted. Each asset class and sector has several drivers such as interest rates, inflation, monetary policy, exchange rates, geopolitics, regulatory changes etc. Individual stocks too have specific factors like revenue growth, management quality, balance sheet strength, competitive environment etc. influencing their business outcomes. The implications of these can be difficult for retail investors with limited market expertise to understand. Mutual funds on the other hand have research teams and experienced fund managers who understand the correlation between these factors and a security's performance and can make well informed, potentially rewarding investments.

Financial markets are dynamic

Market conditions change constantly. Interest rates rise and fall, policies change overnight, and economies go through cycles. These demand timely response and adjustments. DIY investors with limited time and resources may struggle to monitor these constantly evolving market dynamics and respond quickly.

Mutual funds have systems, models, and dedicated professionals to rebalance portfolios and reposition them in real time. This tactical portfolio management aids returns which a DIY investor might lose out on.

Financial market risks can be costly

Investing comes with risks. Mutual funds mitigate the risks of market downturns or negative returns through diversification. Mutual funds divide their assets across many securities which means they are never over exposed to a handful of stocks or sectors. As a result of this diversification, underperformance of a few securities is compensated by outperformance of others, smoothening out returns. DIY investors with limited capital cannot always diversify their portfolio as widely as mutual funds, which means they end up taking on more risk and are more vulnerable to losses.

Moreover, when investing on their own, investors often fall prey to their emotions and behavioural biases. More often than not investors land up buying when markets are high out of greed and selling when markets are low out of fear, thus buying high and selling low - hurting long-term wealth creation. Mutual funds have systems in place to manage these behavioural risks. These systems and processes keep emotions out, ensure a buy-low, sell-high strategy is followed in a disciplined manner - translating into gains.

Just as we trust doctors or tax professionals, investors can thus trust Mutual funds. With their professional management, active monitoring, portfolio diversification and disciplined processes, mutual funds can aid wealth creation.